

2026 ORBITAL MARKET ENTRY REPORT

Sector: Space Launch Services | Effective Date: February 2026
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Editor's Note on Data Sourcing

Market research reports on space launch services vary significantly in methodology, scope, and baseline assumptions. Where figures diverge across sources, the range is noted and the most credible primary source is cited. Readers should treat all market size figures as directional estimates rather than precise measurements.

1. Market Overview & Key Metrics

The orbital launch market has entered a period of rapid acceleration. In 2026, the global space launch services market is estimated at approximately \$24–\$32 billion, depending on the analytical scope applied. Figures vary because some studies include only launch vehicle revenue while others encompass the full stack of integration, ground support, and payload services. The CAGR consensus across major research houses sits between 12% and 17%, with Research and Markets citing 16.97% through 2032.

An earlier figure of \$13.85B circulating in some reports reflects 2022-era baselines, not current 2026 values. Growth is driven by a record cadence of satellite deployments — particularly broadband LEO constellations and defense-related Earth observation programs.

Market Composition (2026 Estimates)

Metric	2026 Estimate	Primary Driver
Total Market Size (2026)	~\$24–\$32B (methodology-dependent)	LEO megaconstellations (Starlink, Kuiper)
Dominant Orbit	Low Earth Orbit (LEO)	~63–67% of launch activity
Leading Payload	Satellites	~74% of total market share
Regional Leader	North America	>40% revenue share (SpaceX dominance)

Sources: [Research and Markets. Space Launch Services Market 2026–2032](#); [Precedence Research. Space Launch Market Size 2035](#)

2. US Government Priorities: NASA & JPL

Budget Reality Check

NASA's FY2026 funding picture requires careful disaggregation to avoid misrepresentation.

The base FY2026 appropriation, passed by Congress on January 15, 2026, funds NASA at \$24.4 billion — a 1.6% cut from FY2025 enacted levels. This reflects a bipartisan defense of NASA's budget against a White House proposal that sought a 24% reduction to \$18.8 billion.

When the supplemental allocation from the "One Big Beautiful Bill Act" (H.R. 1) is included — which provides \$10 billion for NASA over six years, primarily for human spaceflight — the combined FY2026 total reaches approximately \$27.53 billion. This combined figure is the largest NASA budget since FY1998 when adjusted for inflation, and that context should be stated explicitly rather than using the phrase "record budget" without qualification.

Key Nuance for Investors

The headline figure of \$27.53B reflects a one-time legislative alignment of base appropriations plus multi-year supplemental drawdown. The base appropriation trend is flat, not expanding.

Where the Money Is Flowing

- **Artemis "Moon to Mars" Acceleration:** Over \$7 billion directed toward lunar exploration. SLS and Orion remain funded, though strategy increasingly favors [Commercial Lunar Payload Services \(CLPS\)](#) for payload delivery.
- **Mars Programs — With a Critical Caveat:** Approximately \$700 million for a Mars Telecommunications Orbiter originates from FY2025 supplemental law (P.L. 119-21), not the FY2026 base budget. Mars Sample Return (MSR) — the top priority of two consecutive planetary science decadal surveys — was effectively cancelled in FY2026. This is a significant negative market signal for deep-space science missions.
- **Commercial LEO Stations:** With the ISS set for retirement by 2030, NASA has allocated approximately \$273 million to the [Commercial LEO Destinations \(CLD\)](#) program.
- **Nuclear Propulsion:** Approximately \$170 million moved into Exploration accounts for Nuclear Thermal and Electric propulsion, signaling commitment to faster deep-space transit architectures.

Sources: [The Planetary Society: NASA FY2026 Budget](#); [AAS: FY2026 Spending Analysis](#); [SpacePolicyOnline: FY2026 Appropriations](#)

3. Launch Market Pricing & Emerging Providers

Pricing continues to bifurcate between legacy heavy-lift providers and next-generation reusable systems. Reusability is now the baseline for commercial viability, not a differentiator.

- [SpaceX](#): Dominates the market with Falcon 9 and the scaling of [Starship](#), tightly coupled to U.S. lunar ambitions and Starlink v3 constellation deployment.
- [Rocket Lab](#): Advancing its medium-lift [Neutron](#) rocket toward first flight readiness (2026–2027), targeting Falcon 9 competition for defense and commercial constellation customers.
- [Blue Origin](#): [New Glenn](#) scaling operations in 2026, with key missions including AST SpaceMobile deployments and the NASA [Blue Moon](#) lander contract.
- [Firefly Aerospace](#): Focused on sustained cadence with its [Alpha](#) rocket and mid-stage development of the Eclipse medium-lift vehicle.

Sources: [Nasdaq: Rocket Lab & Neutron Outlook 2026](#); [Novaspace: Space Industry Outlook 2026](#)

4. Investment & Return Opportunities (2026)

The broader space economy is frequently cited at a \$626 billion valuation — a figure from Novaspace's Global Space Economy Report that encompasses satellite services, manufacturing, ground equipment, and launch. This is not equivalent to the launch services market size and should not be conflated with it in investor communications.

Investment has structurally shifted from speculative "NewSpace" bets to proven infrastructure plays and sovereign security contracts.

A. The SpaceX Pre-IPO Dynamic

An anticipated SpaceX IPO — with a private market valuation exceeding \$1.5 trillion — continues to generate liquidity pressure across the late-stage private space ecosystem, creating a valuation halo for adjacent pre-IPO leaders including Axiom Space.

B. Public Market Leaders (Post-IPO)

Company	Ticker	2026 Focus
Planet Labs	NYSE: PL	Backlog surged to \$734M; primary provider for daily geospatial AI applications
Intuitive Machines	NASDAQ: LUNR	Positioned as infrastructure backbone of lunar economy under Artemis CLPS
AST SpaceMobile	NASDAQ: ASTS	Leading the Direct-to-Device (D2D) cellular broadband market from orbit

C. High-Signal Sub-Sectors for 2026

- **Orbital Compute / Edge AI:** Real-time on-orbit data processing is the highest-growth venture capital sub-sector in space for 2026. Processing data in orbit compresses latency and reduces ground infrastructure cost.
- **Sovereign Security:** Missile defense programs including the "Golden Dome" initiative are generating durable contract pipelines for resilient constellation operators, particularly in low-latency LEO architectures.
- **Space-Based Data Centers:** Emerging as a long-duration infrastructure thesis — moving compute off Earth to eliminate the energy and land constraints binding terrestrial AI workload growth. Still pre-commercial as of early 2026 but attracting meaningful venture attention.

Sources: [Investing.com: Space Stocks 2026](#); [Novaspace: Global Space Economy \\$626B Report](#)

5. Key Risks & Corrections to Common Narratives

The following are areas where widely circulating market claims require qualification for serious investors:

- **Market size figures:** Multiple market research providers use incompatible scopes. The \$13.85B figure cited in some reports reflects 2022 baselines or narrow launch-vehicle-only definitions. Current 2026 estimates from major research houses range from \$24B to \$32B for comparable scope. Always verify the year of the baseline and what the figure includes.
- **NASA budget narrative:** The \$27.53B combined figure is accurate but structurally fragile — it depends on timely drawdown of OBBBA supplemental funds, subject to NASA execution and Congressional oversight. The underlying base appropriation trend is flat, not growing.
- **Mars program status:** The loss of Mars Sample Return is the largest single setback in NASA planetary science in a generation. Investors in planetary science mission suppliers and deep-space infrastructure should factor this into demand projections.
- **SpaceX market dominance:** SpaceX's share of the global launch market is both an opportunity (as a supply chain and partnership anchor) and a concentration risk for the broader ecosystem. New Glenn and Neutron's commercial maturity timelines will determine how quickly genuine pricing competition develops.

All figures are informational only and do not constitute investment advice or recommendations.

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